



“The muted numbers that you see this year is not a trend. In fact, it is against the trend of what we have seen in the last seven cycles”

PRAKHAR TRIPATHI
PARTNER,
DELOITTE INDIA



“I think we will increasingly see this trend where a company’s revenue and profit growth will not be just due to what the employees are doing”

NEETI SHARMA
CEO, TEAMLEASE DIGITAL

“For one, urban demand is expected to look up, especially in categories related to middle-income households. For instance, in automobiles, the expected volume growth for two-wheelers is much higher compared with passenger cars, where the target buyers are largely from the high-income category,” says the report.

A good monsoon is projected to have lifted rural incomes and demand. PFCE is seen to have grown 7.6% in FY25 as against 5.6% in FY24. Retail inflation is expected at 4.8% in FY25 with food prices cooling and may decline to 4.2% in FY26, as per RBI. Interest rate cuts are also expected to lift consumer spending and demand. Tripathi of Deloitte says we tend to confuse between salary increment and real wage growth. “Real wage growth is going to be roughly on the lines of what have we seen previously because inflation has been coming down,” he says.

Salary awards to government employees with the Eighth Pay Commission next year is expected to push

consumption. A UBS report expects a \$50 billion boost from the awards during 2026-28. “About 40% of formal employment is in the public sector and pay revisions for government employees could indirectly influence wages in the private sector,” it says, noting that private sector salaries seem to have grown at a slower pace in recent years. “Our analysis reveals the total pay of the lowest-ranked government employees is typically more than twice that of comparable private sector jobs,” says the report, authored by Tanvee Gupta Jain, Economist at UBS. Experience of past pay commissions suggests a boost to household savings more than consumption, it says.

For now, at least, there seems to be a silver lining. The salary crunch may be real, but hopes are pinned on a variety of factors to lift households’ spending power. Perhaps, 2026 will be a new story. **BT**

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